THE JAPANESE CHAMBER OF COMMERCE & INDUSTRY

Hiệp Hội Doanh Nghiệp Nhật Bản tại Việt Nam
Phòng 605, Tòa nhà Mặt Trời Sông Hồng, 23 Phan Chu Trinh,
Hoàn Kiếm, Hà Nội
Tel: 84-24-2220-9907 - Fax: 84-24-2220-9909

The Japanese Chamber of Commerce & Industry in Vietnam
Room 605, Sun Red River Bldg., 23 Phan Chu Trinh St.,
Hoan Kiem Dist., Hanoi
Tel: 84-24-2220-9907 - Fax: 84-24-2220-9909

THE JAPANESE CHAMBER OF COMMERCE AND INDUSTRY IN VIETNAM

No. 01/2021JCCI

SOCIALIST REPUBLIC OF VIETNAM

Independence – Freedom - Happiness

March 8, 2021

Respectfully to: Ministry of Industry and Trade
Attn: H.E. Tran Tuan Anh - Politburo Member, Minister of Industry and Trade, Chairman of the Central Economic Commission, Member of PDP8 Appraisal Council

C/c: H.E. Trinh Dinh Dung – Deputy Prime Minister, Chairman of PDP8 Appraisal Council
H.E. Mai Tien Dung - Minister, Chairman of the Office of the Government
H.E. Nguyen Chi Dung - Minister of Ministry of Planning and Investment
H.E. Yamada Takio - Ambassador, Embassy of Japan in Vietnam

Recommendations on the draft National Power Development Plan for 2021-2030 period, with vision towards 2045 ("PDP8")

Your Excellency,

The Japanese Chamber of Commerce and Industry in Vietnam ("JCCI") would like to express appreciations to the Ministry of Industry and Trade, the Government Office, the Ministry of Planning and Investment, and other government authorities for their generous support to the Japanese business community and for providing opportunities for close collaboration and dialogue on all aspects of investment and business activities in Vietnam, including energy and power sector projects.

JCCI would like to submit our recommendations on the draft of Power Development Plan 8 ("PDP8"), which is being prepared by the Vietnamese government based on the Resolution No. 55-NQ/TW of the Politburo of Communist Party of Vietnam. Many Japanese companies in Vietnam, including JCCI members, are basically electricity users in the manufacturing and service industries. For these companies, PDP8 is relevant, as stable and affordable power supply is the most important factor to consider when continuing their business activities or making new investment decisions in Vietnam. In addition, for Japanese companies that are directly involved in the development of power supply through investment and provision of equipment and technology, it is also extremely important that PDP8 becomes an effective framework that enhances the predictability of business activities, facilitates procedures, and promotes necessary institutional improvements.

With this in mind, we would like to offer the following recommendations to ensure that PDP8 will promote the smooth formation of power generation projects, thereby steadily realizing the supply capacity to meet the increasing demand and maintaining the environment in which industrial activities such as manufacturing can be carried out without hindrance. We would be very grateful if these comments could be taken into consideration for the finalization of the PDP8 draft and its subsequent implementation.

- **General Comment**: In order for Vietnam to further accelerate its economic growth toward becoming a developed country in 2045, the draft PDP8 calls for a four- to five-fold increase in the total installed capacity of power generation compared to the current level, as well as the active use of renewable energy, energy efficiency, and LNG to achieve energy transition. These ambitious targets are appreciated.

- **Response to Decarbonization Trend**: On the other hand, as international public opinion for decarbonization is growing, it is important for the government of Vietnam to consider new long-term policies or guidelines for decarbonization in the future. While the role of gas-fired power generation as a new base-load power source, in addition to renewable energy, is important for a realistic energy transition as stated in the draft PDP8, as a next step beyond PDP8, it is desirable to develop a vision to

achieve net zero emissions in the long term while introducing advanced technologies (such as co-firing and full combustion of ammonia or hydrogen, CCS, etc.).

- **Smooth Implementation of PDP8**: As the supply of stable and inexpensive electricity will lead to the growth of domestic industry as well as to bring in more FDI, it is important to steadily realize the individual projects listed in the draft PDP8 list without delay. For this purpose, it is necessary to continuously create and improve an institutional environment to promote the accelerated development of each power project.

- Though we are aware that MOIT and relevant ministries and agencies are taking measures in some way or other, some specific areas of interests from JCCI perspective that need to be addressed through implementation of PDP8 include the following:

a) **Bankability Issues**: Securing the bankability for investing and funding the power sector projects for foreign investors is indispensable for realizing each project, in light of some pending issues in the PPP legal framework, and of weak institutional support for large gas-fired or renewables under "IPP" format (that are not covered by PPP law).

b) **Transmission Lines**: In order to ensure that the electricity generated, including that from renewable energy sources, is supplied without any curtailment, it is necessary to expand stable and highly efficient national core transmission lines. In this context, the introduction of more stable or highly-efficient advanced technology, such as low-loss conductors, will be effective.

c) **Decentralized Power Provision**: We are interested to see further effective measures for decentralization of power sources by means of deregulation to promote affordable rooftop solar for industry and promotion of Direct PPA. These will help improve electricity reserve ratio, as draft PDP8 envisages the ratio to decrease to single digit percentage toward 2045.

d) **Environmental Considerations**: In response to the recently growing global environmental awareness, it is worth considering to accelerate the strengthening of environmental considerations in (1) power sector, such as improving the efficiency of existing power plants, and in (2) industry sector in promoting use of renewable energy, such as through the promotion of Direct PPA and introduction of "Renewable Energy Certificates".

We greatly appreciate Your Excellency's kind attention and consideration of our recommendations. We are always willing to cooperate further with your esteemed ministry and related authorities to contribute to the realization of PDP8 and Vietnam's economic development through: (1) bilateral dialogue between Vietnam and Japan to improve the investment environment, including the "Vietnam-Japan Joint Initiative;" (2) multilateral dialogue between Government of Vietnam and foreign business community such as Vietnam Business Forum in order to further stipulate foreign corporation's investments in this sector, (3) promoting investment in individual projects; and (4) collaborating with the Japanese government and public organizations.

Sincerely yours,

Sudo Kazunori
Chairman
The Japanese Chamber of Commerce and Industry in Vietnam

Aguin Toru
Leader of Working Team 6 (Power and Energy),
Vietnam Japan Joint Initiative